

PART IV

Market Cycles

For investors looking to time the market or at least understand its behavior, Part IV is essential. The Dow Jones Industrial Average has been a primary barometer for measuring booms and busts since Charles Dow introduced it in 1884, so who better to diagnose market cycles than he? Investor confidence plays a pivotal role, Dow says, and it can be dramatically influenced by any number of events, from presidential elections to public scandals. If cycles are powered by investor sentiment, can they be foretold? William Peter Hamilton, Dow's successor as editor of the *Wall Street Journal*, begins to diagnose primary and secondary movements in the market and discusses how to forecast them. In a more whimsical light, Robert Prechter connects stock market movements to popular culture trends in music, movies and fashion. Whether they are economics, the weather, or social trends, understanding the driving forces behind market cycles helps the investor make strategic decisions.